

dinners out with his girlfriend, football tickets, and other daily personal expenditures. Michael felt lucky that he had this extra source of income while his friends seemed to barely have enough money to buy an occasional burger at the local hangout.

When it came time to apply for his student loans for his sophomore year, there was no question that Michael would request the maximum amount available to him, even though his actual school expenses were much lower. He repeated this pattern every year without worry, since he didn't have to start repaying these loans until after he graduated. Eventually that day came to pass and Michael was out on his own working his first post-college full-time job.

His salary of \$25,000 was typical for a recent college graduate and it was able to cover his living expenses until he got a bill in the mail six months after he had graduated. This bill was the first monthly payment for his student loans, which he would now be repaying for ten long years. Michael was shocked when he saw the amount he was now required to pay monthly. The reality of the \$12,200 in total student loan debt that he owed sent him into a panic.

In fact, when Michael did a monthly budget of his situation based on his student loan obligation plus \$2,200 in credit card debt plus monthly living expenses of \$2,100, he found out that he would have to earn \$38,512 annually in order to break even! His current salary left him \$14,000 short. This shortfall quickly put Michael into default since he could not afford his monthly payment.

Michael should have borrowed student loans only up to the amount that he actually needed and not up to the available limit. Since Michael also had received a scholarship, the actual shortage needed to be covered by student loans was not that great. Borrowing more money than was necessary left Michael with a generous slush fund, which allowed him to live

